China inflation

Economics

PPI up, CPI steady

China

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- CPI y-o-y remained relatively stable in April as the impact of the energy shock was primarily on energy components only; food items turned into a drag
- PPI surged to 2.8% y-o-y and surprised on the upside (Bbg: 1.8%), driven by the fast oil price pass-through; AI-demand and anti-involution also helped
- Early signs of cost pass-through to midstream sectors suggest downstream sector responses and transmission to core CPI will be key to monitor

Facts

Table 1. China CPI breakdown

	Feb-26	Mar-26	Apr-26
Headline CPI, % y-o-y, nsa	1.3	1.0	1.2
Core CPI (ex.food, energy), % y-o-y, nsa	1.8	1.1	1.2
Food prices,% y-o-y, nsa	1.7	0.3	-1.6
Fresh Vegetable	10.9	4.9	-0.5
Meat	-2.7	-4.2	-6.7
Pork	-8.6	-11.5	-15.2
Transportation and Comm, % y-o-y, nsa	-0.7	0.9	4.6
Transportation fuel	-9.0	3.4	17.4
Entertainment and culture, % y-o-y, nsa	2.0	1.1	1.3
Tourism	11.7	3.2	4.0
Services, % y-o-y, nsa	1.6	0.8	0.9
Headline CPI, % m-o-m, nsa	1.0	-0.7	0.3
Core CPI (ex.food, energy), % m-o-m, nsa	0.7	-0.7	0.2
Food prices, % m-o-m, nsa	1.9	-2.7	-1.6
Fresh Vegetable	-0.1	-10.1	-6.4
Meat	2.6	-3.9	-2.7
Pork	4.0	-7.3	-5.7
Transportation and Comm, % m-o-m, nsa	2.2	0.4	3.5
Transportation fuel	2.8	10.0	11.5
Entertainment and culture, % m-o-m, nsa	1.6	-1.6	0.5
Tourism	14.1	-12.9	4.1
Services, % m-o-m, nsa	1.1	-1.1	0.5

Source: CEIC, HSBC

Table 2. China PPI breakdown

	Feb-26	Mar-26	Apr-26
Headline PPI, % y-o-y, nsa	-0.9	0.5	2.8
Consumer goods	-1.6	-1.3	-1.0
Producer goods	-0.7	1.0	3.8
Coal Mining	-7.0	-2.2	3.1
Petroleum and Natural Gas Mining	-12.9	5.2	28.6
Ferrous Metals Manufacturing	-3.4	-2.5	-1.1
Non-Ferrous Metals Manufacturing	22.1	22.4	22.5
Petroleum and Coal Manufacturing	-12.0	-4.5	14.2
Computer and Communication	-0.9	0.4	1.5
Headline PPI, % m-o-m, nsa	0.4	1.0	1.7
Consumer goods	0.0	-0.1	-0.1
Producer goods	0.5	1.3	2.1
Coal Mining	-0.5	0.1	1.9
Petroleum and Natural Gas Mining	5.1	15.8	18.5
Ferrous Metals Manufacturing	0.1	0.3	0.6
Non-Ferrous Metals Manufacturing	4.6	1.0	0.2
Petroleum and Coal Manufacturing	0.4	5.8	16.4
Computer and Communication	0.6	0.7	0.6

Source: CEIC, HSBC

Implications

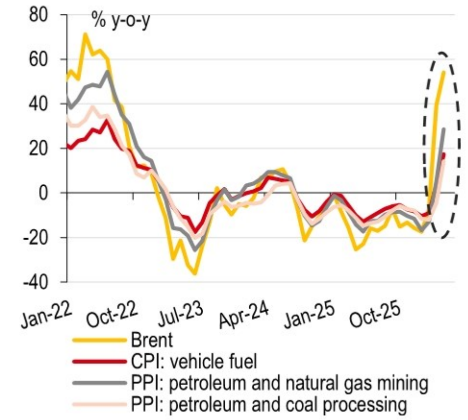
April's inflation data indicated that energy cost pass-through became more pronounced in industrial sectors, as evidenced by the stronger-than-expected rise in PPI (2.8% y-o-y; HSBC: 1.8%, Bbg: 1.8%). The breakdown revealed that price pass-through to domestic oil-related upstream and midstream sectors was a key driver. Looking ahead, if energy prices remain elevated, we think midstream firms will likely need to pass on more costs to buyers, even if this risks market share losses. On the consumer side, the impact appeared largely confined to energy components so far (CPI up 1.2% y-o-y; HSBC: 1.0%, Bbg: 0.9%), though more time is needed to gauge the full impact of the oil shock. In other words, it will be important to monitor for signs of PPI feeding into core CPI in coming months and quarters, which may prompt additional policy support for hard-hit groups.

Headline CPI y-o-y showed a very mixed story in April, as energy components were primarily boosted by surging global oil prices while food items turned into a drag. In particular, vehicle fuel prices recorded the highest y-o-y increase since Oct 2022 (up 17.4% y-o-y). However, the NDRC's pricing regulations have already provided a much-needed buffer, as increases in domestic vehicle fuel prices largely lagged global oil price movements over the month (chart 1). With global crude oil prices still elevated (Brent trading at above USD100 per barrel at the time of writing), and domestic price adjustments lagging alongside a low base from last year (Brent only averaged USD 64 per barrel in May 2025), energy is likely to remain a key contributor to CPI growth this month.

For food items, while vegetables and fruit prices m-o-m appeared weaker than the seasonal trend due to warmer weather this year, the key drag still came from pork, whose y-o-y prices have been declining for eleven consecutive months in this cycle. The imbalance between supply and demand has also drawn the attention of policymakers, particularly as the April Politburo meeting explicitly called for stabilising prices of live hogs (Xinhua, 28 April). The Ministry of Agriculture and Rural Affairs and the NDRC have recently signalled tighter production-capacity management, and the rollout of specific follow-up measures should help pork prices improve.

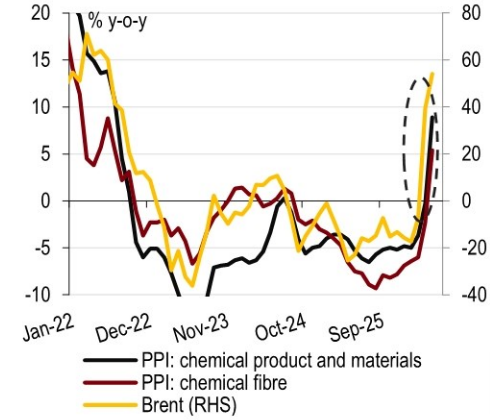
Excluding volatile components, core CPI was broadly in line with expectations: the m-o-m increase roughly matched its seasonal pattern, and the y-o-y increase remained relatively stable. The impact of the energy shock appeared muted at this juncture. Instead, despite slower y-o-y price growth, gold products (up 47%) still added 0.2ppts to headline CPI y-o-y inflation (NBS, 11 May). Excluding that, some growth momentum is likely shifting from goods consumption towards services now. For one, the waning impact of trade-ins was still reflected by household appliance prices, which only rose 2.6% y-o-y in April versus 4.8% in Q1. A modest uplift was recorded in culture and entertainment, with prices rising 1.3% y-o-y in April versus 1.0% in Q1, supported by ongoing policy measures (including spring breaks for primary and secondary students) and fiscal support announced at the Two Sessions. Going forward, policymakers have pledged to further unlock services consumption potential, while the NDRC's refined oil pricing regulations should continue to partially mitigate cost pressures across transport-related sectors.

Chart 1. The most direct impact was still on vehicle fuels and upstream sectors…



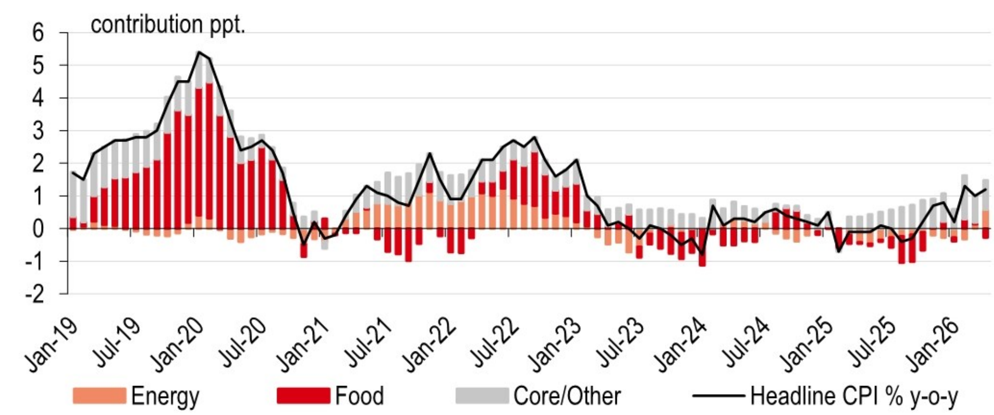
Source: Bloomberg, CEIC, HSBC

Chart 2. …but some midstream sectors using oil as inputs also raised prices



Source: Bloomberg, CEIC, HSBC

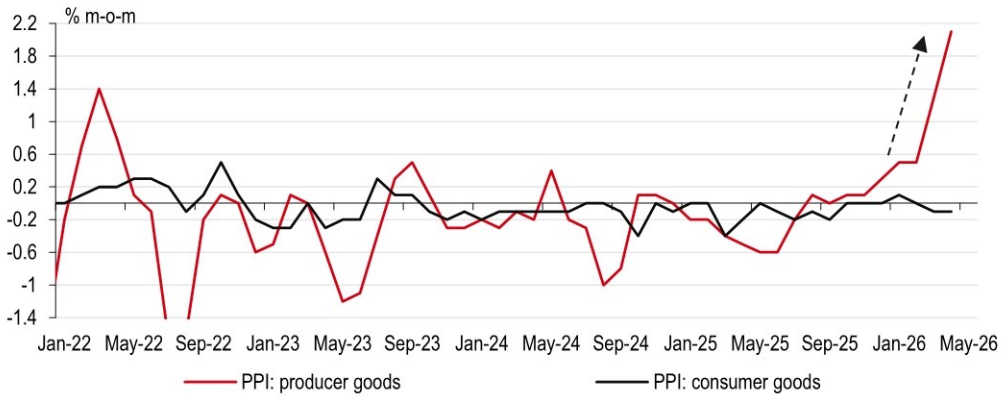
Chart 3. Headline CPI was boosted by energy components in April



Source: CEIC, HSBC estimates

For PPI, several key observations are worth highlighting. First, the most direct impact still came from oil-related upstream sectors (chart 1). Our estimates showed that the combined contribution of petroleum & natural gas extractions, coal mining, and petroleum & coal processing to PPI y-o-y growth increased by c1.1ppts compared with the previous month. Given these sectors' stronger linkage to global oil prices, a prolonged Middle East conflict is likely to keep their prices elevated. Second, some midstream sectors that use petroleum as raw inputs also raised their output prices. In particular, chemical products & materials and chemical fibres saw positive y-o-y price growth for the first time since August and September 2024 (chart 2). We estimated that their combined contribution to PPI y-o-y also increased by c0.7ppt compared with March. However, as their price increases have largely lagged those in upstream sectors, this may still suggest a risk of profit margin compression. Third, downstream consumer-facing sectors have not yet seen a material impact, as price responses remained muted (Chart 4). As a result, pass-through to core CPI appeared contained at this stage. Looking ahead, we continue to expect midstream and downstream players will need to pass more costs on to customers if energy prices stay elevated for an extended period, given the significant hit to their profit margins. Lastly, excluding the oil impact, strong AI-driven demand, rising global copper prices, domestic electrification and anti-involution measures were also key drivers. The most impacted sectors were electrical machinery, computers and communications, and non-ferrous metals (mining and manufacturing), whose y-o-y prices all climbed up higher in April.

Chart 4. Consumer-facing downstream sectors have not seen material price shocks



Source: CEIC, HSBC

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